

	2022 KShs'000	2021 KShs'000
Revenue	2,605,761	1,848,083
Cost of sales	(1,918,999)	(1,282,829)
Gross profit	686,762	565,254
Other income	8,646	60,991
Factory expenses	(153,806)	(136,426)
Administrative expenses	(231,349)	(275,148)
Selling and distribution expenses	(81,238)	(76,738)
Profit before depreciation, impairment and finance costs	229,015	137,933
Impairment writback / (loss) on trade receivables and contract assets	(31,576)	14,400
Depreciation and amortisation	(222,251)	(272,183)
Results from operating activities	(24,812)	(119,850)
Interest (expense) / credit	(351,141)	(326,948)
Exchange gains	56,048	36,482
Net finance costs	(295,093)	(290,466)
Loss before income tax	(319,906)	(410,316)
Income tax (expense) / credit	(25,367)	110,599
Loss for the year	(345,273)	(299,717)
Other comprehensive income		
<i>Items that will never be reclassified subsequently to profit or loss:</i>		
Revaluation of property, plant and equipment	(183)	-
Revaluation of right of use assets	(31,436)	-
Deferred tax effect	9,486	-
	(22,133)	-
<i>Items that are or may be reclassified to profit or loss:</i>		
Re-measurement gain / (loss) on retirement benefit plan	8,817	6,215
Deferred tax effect on remeasurement (gain) / loss	(2,645)	(1,865)
	6,172	4,350
Foreign currency translation differences on foreign operations	(28,254)	1,686
Total other comprehensive income	(44,215)	6,036
Total comprehensive income for the year	(389,488)	(293,681)
Loss for the year attributable to:		
Owners of the company	(258,256)	(266,252)
Non-controlling interest	(87,017)	(33,465)
	(345,273)	(299,717)
Total comprehensive income attributable to:		
Owners of the company	(305,151)	(245,262)
Non-controlling interest	(84,337)	(48,419)
	(389,488)	(293,681)
Basic and diluted earnings per share	KShs (1.02)	KShs (1.05)

	2022	2021
ASSETS	KShs'000	KShs'000
Non-current assets		
Property, plant and equipment	2,191,373	2,377,167
Right-of-use assets	1,989,950	2,026,127
Investment properties	220,169	220,260
	<u>4,401,492</u>	<u>4,623,554</u>
Current assets		
Inventories	347,731	375,878
Trade and other receivables	419,927	315,081
Current tax recoverable	59,723	59,021
Cash and cash equivalents	129,221	96,532
	<u>956,602</u>	<u>846,512</u>
Asset held for sale	-	110,000
	<u>956,602</u>	<u>956,512</u>
TOTAL ASSETS	5,358,094	5,580,066
EQUITY AND LIABILITIES		
Capital and reserves		
Issued capital	126,563	126,563
Share premium	545	545
Revaluation reserve	2,023,209	2,045,342
Retained earnings	(1,260,654)	(1,007,497)
Foreign currency translation reserve	(123,724)	(93,863)
Total equity attributable to equity holders of the company	765,939	1,071,090
Non-controlling interest	(56,537)	27,800
Total equity	709,402	1,098,890
Non-current liabilities		
Bank loans and borrowings	1,315,229	1,764,402
Shareholders loan	723,832	642,487
Liability for staff gratuity	40,553	42,092
Deferred tax liability	367,848	324,003
	<u>2,528,462</u>	<u>2,772,984</u>
Current liabilities		
Trade and other payables	1,127,915	1,201,391
Short-term portion of bank loan	1,068,190	501,300
Dividends payable	5,125	5,501
	<u>2,201,230</u>	<u>1,708,192</u>
TOTAL EQUITY AND LIABILITIES	5,358,094	5,580,066

A full copy of the Group financial statements including explanatory notes is available from our website www.eacables.com

	2022 KShs'000	2021 KShs'000
Cash generated from operations	86,242	188,183
Income taxes paid	(2,989)	-
Cash flows generated from operating activities	83,253	188,183
Cash flows from investing activities		
Purchase of property, plant and equipment	(4,719)	(6,926)
Sale of property, plant and equipment	106,610	-
Net cash used in investing activities	96,490	(6,926)
Cash flows from financing activities		
Bank loans and borrowings received	80,281	10,735
Repayment of bank loans and borrowings	(83,357)	(41,021)
Interest paid	(149,003)	(243,415)
Dividends paid	(376)	(1,119)
Net cash used in financing activities	(152,455)	(274,820)
Net decrease in cash and cash equivalents	32,689	(93,563)
Cash and cash equivalents at 1 January	96,532	190,095
Cash and cash equivalents at 31 December	129,221	96,532

During the year, directors remuneration (executive and non-executive) amounted to KShs 44.39 million (2021 – KShs 41.01 million).





East African Cables
Total peace of mind

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS AND THE SUMMARY DIRECTORS' REMUNERATION REPORT TO THE MEMBERS OF EAST AFRICAN CABLES PLC

Opinion

The summary financial statements, which comprise the summary consolidated statement of financial position as at 31 December 2022, the summary consolidated statement of profit or loss and other comprehensive income, the summary consolidated statement of changes in equity and summary consolidated statement of cash flows for the year then ended, are derived from the audited financial statements of East African Cables Plc for the year ended 31 December 2022.

The summary directors' remuneration report is derived from the auditable part of the directors' remuneration report for the year ended 31 December 2022.

In our opinion, the accompanying summary financial statements and the summary directors' remuneration report are consistent, in all material respects, with the audited consolidated financial statements and the auditable part of the directors' remuneration report, in accordance with the Kenyan Companies Act, 2015.

Summary financial statements and summary directors' remuneration report

The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Kenyan Companies Act, 2015. Reading the summary financial statements, the summary directors' remuneration report and the auditors' report thereon, is not a substitute for reading the audited consolidated financial statements, the directors' remuneration report and the auditors' report thereon. The summary financial statements and the audited financial statements do not reflect the effects of the events that occurred subsequent to the date of our report on the audited financial statements.

The audited consolidated financial statements, directors' remuneration report and our report thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 28 April 2023 and also reported that the auditable part of the directors' remuneration report was prepared in accordance with the Kenyan Companies Act, 2015. That report also includes:

- A *Material Uncertainty Related to Going Concern* section that draws attention to Note 2(f) of the audited consolidated financial statements. Note 2(f) of the audited consolidated financial statements indicates that East African Cables Plc incurred a loss of KShs 345.27 million during the year ended 31 December 2022 and as of that date, the current liabilities exceeded current assets by KShs 1,244.63 million. These events or conditions, along with other matters as set forth in Note 2(f) of the audited consolidated financial statements, indicate that a material uncertainty exists that may cast significant doubt on East African Cables Plc's ability to continue as a going concern. These matters are addressed in Note 2(f) of the audited consolidated financial statements.
- The report also includes the communication of other key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' responsibility for the summary financial statements and summary directors' remuneration report

The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the Kenyan Companies Act, 2015.

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent, in all material respects, with the audited consolidated financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to Report on Summary Financial Statements*.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Elvis Ogeto – Practicing Number 2303**

For and on behalf of
RSM Eastern Africa LLP
Certified Public Accountants
Nairobi

Date: 28 April 2023